Printed Pages: 1

Roll No: | | | | | | | | | | |

Subject Code: DM-302
Paper ID: 13002

GNIOT Institute of Management Studies – PGDM (Batch 2023-25)

(TRIMESTER – III) END TERM EXAMINATION, APRIL - 2024

Cost and Management Accounting

[Time: 3 Hours] ***[Maximum Marks: 60]***

INSTRUCTIONS:
(i) ***There are THREE sections in this question paper.***
(ii) ***Attempt questions from each section as per the directions.***
(iii) ***Make suitable assumptions wherever necessary.***

SECTION-A
(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following: ***(5×4=20)***

(a) Management accounting is a different branch of accounting from other two branches. What are those branches and how do you differentiate all of them?

(b) From the following data, calculate B.E.P expressed in terms of units and also the new B.E.P if selling price is reduced by 10%.

Fixed expenses:	**Variable expenses:**	
Depreciation Rs 1, 00,000	Materials Rs 3 p.u	Selling price = Rs 10 p.u.
Salaries Rs 1, 00,000	Labour Rs2p.u	

(c) There is a possibility of suffering Normal as well a abnormal losses in a Process by a manufacturing firm, How do you treat these losses while preparing accounts for any Process? You may take an example.

(d) Calculate Current Ratio and Quick Ratio :

	Rs.
Sundry Debtors Rs.	4,00,000
Prepaid Expenses	40,000
Debentures	2,00,000
Stock	1,60,000
Bills Payable	80,000
Marketable securities	80,000
Sundry Creditors	1,60,000
Cash	1,20,000
Expenses Payable	1,60,000

(e) Briefly explain the Objectives and advantages of Management accounting.

SECTION-B
(Long Answer Type Questions)

Q.2. Attempt all questions of the following ***(4×6=24)***

(a) From the following information prepare a cost sheet to show; (a) Prime cost; (b) Work ; (c) Cost of production (d) Cost of sales; and (d) Profit.

	Rs.	
Raw materials purchased	32,250	
Carriage on purchases	850	
Direct wages		18,450
Factory overhead	2,750	
Selling overhead	2,450	
Office overhead	1,850	
Sales		75,000
Sale of factory scrap		250
Opening stock of finished goods	9,750	
Closing stock of finished goods	11,100	

OR

(a) Cost is the some total of all expenses incurred in production of a commodity. How do you classify this cost? Explain at least 6 of them.

(b) The Indian Construction Co. Ltd. has undertaken the construction of a bridge over the River Yamuna for a Corporation. The value of the contract is Rs. 15,00,000 subject to a retention of 20% until one year after certified completion of the

contract, and final approval of the Corporation's engineer. The following are the details as shown in the books on 30th June, 2003.

		Rs.
Labour on site		4,05,000
Materials direct to site		4,20,000
Materials from stores		81,200
Hire and use of plant		12,100
Direct expenses	23,000	
General overhead allocated to the contract	37,100	
Materials on hand on June 30th June, 2003	6,300	
Wages accrued on June 30th June, 2003	7,800	
Works jot yet certified at cost		16,500
Amount certified by the corporation's engineer	11,00,000	
Cash received on account	8,80,000	

Prepare Contract Account

OR

(b) Explain the term Break Even point and Margin of Safety. You may use Graph and take an example to show give explanation.

Q.3. *(a)* A product passes through three process A, B and C. the normal wastage of each process is as follows: Process A – 3 per cent, Process B – 5 per cent, and Process C – 8 per cent. Wastage of Process A was sold at 25 P. per unit, that of Process B at 50 P. per unit and that of Process C at Re. 1 per unit.

10,000 units were issued to Process A on 1-4-2004 at a cost of Re. 1 per unit. The other costs were as follows:

	Process A	Process B	Process C
Sundry materials	Rs. 1,000	Rs. 1,500	Rs. 500
Labour	5,000	8,000	6,500
Direct expenses	1,050	1,188	2,009
Actual output	9,500 units	9,100 units	8,100 units

Prepare the Process Accounts, assuming that there were no opening or closing stocks.

OR

(a) A contract account is prepared to show the details about a contract and the financial transactions involved in it, this account gives a profit called Notional Profit. How do you treat the same considering the stage of completion of Contract and the amount received from Contractee? Explain using an example.

(b) An analysis of M.K Manufacturing Company led to the following information:

Cost Element	Variable Cost (% of sales)	Fixed Cost Rs.
Direct material	32.8	–
Direct labour	28.4	–
Factory overhead	12.6	1.89,900
Distribution overhead	4.1	58,400
General administration overhead	1.1	66,700

Budgeted sales for the next year are Rs. 18,50,000 You are required to determine:

(a) Break-even sales value.

(b) Profit at the Budgeted sales volume and.

.OR

(b) The Madras Transport Company which keeps a fleet of lorries, shows the following information:

Kilometres run for April 2008 – 30,000

	Rs.
Wages for April 2008	2,000
Petrol, Oil, etc, for April 2008	4,000
Original cost of vehicles	1,00,000
Repairs for April 2008	6,000
Garage Rent etc, for April 2008	1,000
Licence, insurance etc, for the year 2008	6,000

Depreciation is to be allowed @ 25% per annum on original cost. Prepare a statement for April 2008 showing the cost per running kilometer..

SECTION-C

Q.4. Attempt all parts of the following: *(2×8=16)*

Following is a Balance Sheet and Statement of Profit and loss of an unknown company, you are required to read the statements carefully and answer questioned asked below:

Particulars	Not No. e	As at 31 March 2021	As at 31 March 2020
ASSETS			
Non-current assets			
Property, plant and equipment	3 A	478.45	342.22
Right-of-use assets	3 B	1.33	2.17
Capital work-in-progress	3 A	1.61	178.41
Intangible assets	4	0.64	1.08
Investments in subsidiaries	5	1,669.03	1,622.26
Financial assets			
Investments	5 A	12.54	6.94
Trade receivables	6	-	2,719.72
Loans	7	180.76	187.51
Other financial assets	8	56.14	55.66
Deferred tax assets (net)	9	715.99	437.08
Income tax assets (net)	9	90.26	233.24
Other non-current assets	10	74.50	88.81
Total non-current assets		**3,281.25**	**5,875.10**
Current assets			
Inventories	11	187.75	191.83
Financial assets			
Investments	12	3.00	3.00
Trade receivables	6	4,398.21	1,821.97
Cash and cash equivalents	13	228.17	85.92
Bank balances other than cash and cash equivalents	14	94.16	82.76
Loans	7	20.60	19.57
Other financial assets	8	102.80	88.61
Other current assets	10	2,447.48	2,695.63
		7,482.17	**4,989.29**
Assets classified as held for sale	15	6.49	64.78
Total current assets		**7,488.66**	**5,054.07**
TOTAL ASSETS		**10,769.91**	**10,929.17**
EQUITY AND LIABILITIES			
Equity			
Equity share capital	16	151.31	151.31
Other equity		460.55	1,027.43
Total equity		**611.86**	**1,178.74**
Liabilities			
Non-current liabilities			
Financial liabilities			
Borrowings	17	1,197.33	1,357.37
Other financial liabilities	18	1,457.89	1,187.18
Provisions	19	42.02	43.83
Total non-current liabilities		**2,697.24**	**2,588.38**
Current liabilities			
Financial liabilities			
Borrowings	20	1,995.94	1,368.01

Trade payables	21		
- Total outstanding dues of Micro Enterprises and Small Enterprises		48.00	23.27
- Total outstanding dues of creditors other than Micro Enterprises and Small Enterprises		1,601.90	1,757.34
Lease liabilities		1.36	2.33
Other financial liabilities	18	1,750.40	1,416.11
Other current liabilities	22	1,923.36	2,474.70
Provisions	19	139.85	120.29
Total current liabilities		**7,460.81**	**7,162.05**
TOTAL EQUITY AND LIABILITIES		**10,769.91**	**10,929.17**

Particulars	Note No.	**Year ended 31 March 2021**	Year ended 31 March 2020
Income			
Income from operations	23	2,589.74	3,646.63
Other income	24	52.64	29.51
Total income		**2,642.38**	**3,676.14**
Expenses			
Cost of materials consumed	25	525.56	690.76
Subcontracting expenses	-	1,054.05	1,664.80
Construction expenses	26	244.94	279.80
Employee benefits expense	27	323.74	413.67
Finance costs	28	829.89	746.15
Depreciation and amortisation expense	29	91.06	109.37
Other expenses	30	141.83	132.51
Total expenses		**3,211.07**	**4,037.06**
Loss before exceptional items and tax		(568.69)	(360.92)
Exceptional items- Gain / (loss)	31	(274.03)	319.95
Loss before tax		**(842.72)**	**(40.97)**
Tax expense	9		
Current tax		3.34	0.09
Deferred tax		(279.61)	127.66
		(276.27)	**127.75**
Loss for the year (A)		**(566.45)**	**(168.72)**
Other comprehensive Income /(loss)			
(a) Items not to be reclassified subsequently to profit or loss (net of tax)			
- Gain/ (loss) on fair value of defined benefit plans as per actuarial valuation		1.29	(3.16)
- Gain/ (loss) on fair value of equity instruments		5.60	(10.71)
(b) Items to be reclassified subsequently to profit or loss		-	-
Other comprehensive income / (loss) for the year, net of tax (B)		**6.89**	**(13.87)**
Total comprehensive loss for the year, net of tax (A+B)		**(559.56)**	**(182.59)**
Earnings per equity share of nominal value ` 1 each			
Basic and diluted (in `)	32	(3.74)	(1.12)

4(a) Assuming the company is seeking a Term loan from bank, and you are a banker how would you analyse the statements to find out feasibility of the loan? (use appropriate ratios)

4(b) Analyse the statements as a potential investor in this company. (use appropriate ratios)